

HARLEY-DAVIDSON: OUTSIDE IN · PART 3 OF 4

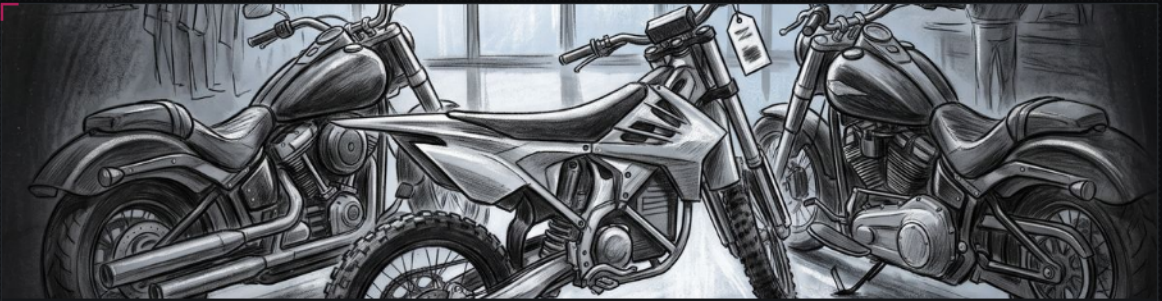
21,633
TO 653.

Alta Motors, which Harley never put a number on. StaCyc, the one purchase that hit every target it was given. Together, what Harley actually wanted from electric.



HARLEY-DAVIDSON: OUTSIDE IN • THE ROUTE

FOUR PARTS. ONE THESIS.



BRISBANE, CALIFORNIA, 2018

Brisbane, 2018. An Alta on a Harley floor, one of 44 dealers that carried it. Six months later the building was empty.

PART 1 OF 4

THE RECORD

Sixteen moves in one table. Brands go. Channels stay.

PART 2 OF 4

SAME SENTENCE

Buell, MV Augusta, and the words used both times.

PART 3 OF 4 • THIS POST

TOO SMALL TO SAY

Alta, never disclosed. StaCyc, \$14.9M, 33 to 1.

PART 4 OF 4

THE SPRINT & THE FINAL WORD

1960: an Aermacchi. 2026: a Hero. What it was for.

1 MARCH 2018

“Alta has demonstrated innovation and expertise in EV and their objectives align closely with ours.”

MATT LEVATICH, CEO · H-D RELEASE

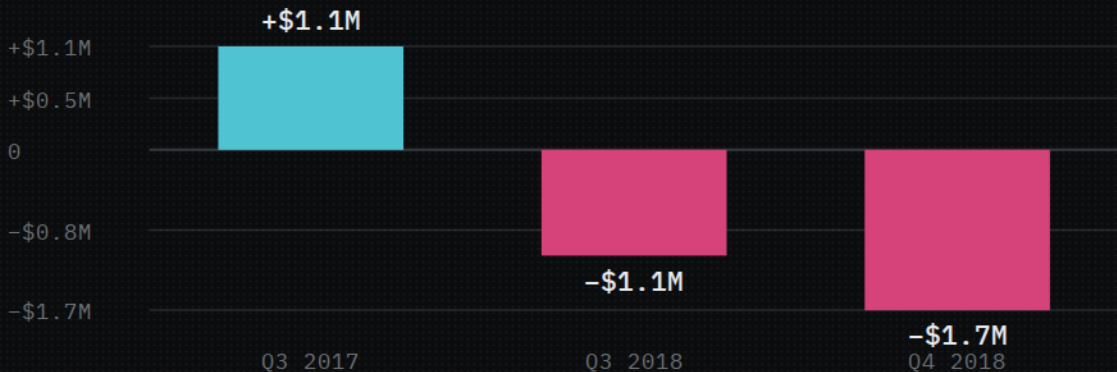
No amount. No percentage. The Q1 2018 earnings release is the **only Harley-Davidson SEC filing that has ever contained the word “Alta.”** One sentence: “Invested in a collaborative agreement with Alta Motors.”

HARLEY-DAVIDSON, INC. · 8-K EX. 99.1 · Q1 2018 RESULTS · 24 APR 2018

Invested in a collaborative agreement with Alta Motors

THE ONLY HARLEY-DAVIDSON SEC FILING THAT HAS EVER CONTAINED THE WORD “ALTA” · ONE SENTENCE, NO NUMBER

SEARCH EVERY 10-Q AND 10-K, 2018-19. NO EQUITY INVESTMENT. NO WRITE-OFF. ONE FOOTPRINT.



“Investment (loss) income” ran at about +\$1M a quarter and went negative the two quarters after Alta. No filing attributes the swing. *Inferred, not documented.*

ALTA'S OWN PAPERWORK BOUNDS IT · FASTER FASTER, INC. · CIK 1620298

FILED	OFFERING	SOLD	INVESTORS
7 Mar 2016	\$7.0M convertible notes	\$1.77M	18
2 Jun 2017	\$26.1M equity	\$12.4M	42
3 Jul 2017	\$20.3M equity + debt	\$15.2M	24
5 Feb 2018	Same round, closed	\$20.84M	30
13 Aug 2018	\$5.0M bridge note	\$2.45M	4

The round Harley joined closed by amendment on **2 February 2018**, four weeks before the announcement. Since July it had grown by **\$5.65M** and **six investors**. No Form D reports an equity sale after that.

If Harley's money is in that round, the check was inside **\$5.65M**. Inferred. Harley has never said.

SIX MONTHS, ON THE CALENDAR

2 FEB 2018	Alta closes its equity round at \$20,843,998.
1 MAR 2018	Harley announces the investment. “We intend to be the world leader in the electrification of motorcycles.”
27 JUL 2018	Alta starts selling a \$5.0M bridge note. Four investors, \$2.45M.
29 AUG 2018	Asphalt & Rubber, sourced: Harley is out. No company statement.
5 SEP 2018	Harley announces its own Silicon Valley EV R&D facility: “battery, power electronics, and e-machine design.” Alta’s specialty.
17 OCT 2018	Alta ceases operations.
20 FEB 2019	BRP buys the IP. “No interest in restarting operations.”

2018 • HARLEY AND ALTA, ON THE CALENDAR



5 SEP: HARLEY ANNOUNCES ITS OWN EV LAB, A WEEK AFTER THE SPLIT LEAKED

ALTA IS THE CLEANEST CASE IN THE TABLE.

Harley wanted the technology without the partner. It paid a sum too small to disclose to find out what it needed, opened its own lab a week after the split leaked, and built the rest in-house.

Six months. One press release. No number.
That is what a cheap option looks like from the outside.

Alta's co-founder has his own account of what Harley took with it. It is in the brief, on the record, unverified, with a disclosure.

ALTA'S ROUND, CLOSED 2 FEB 2018

\$20.84M

GROWTH IN THE ROUND AFTER JULY 2017 • WHERE HARLEY'S CHECK SITS, IF IT IS THERE

≤ \$5.65M

WHAT HARLEY DISCLOSED

\$0

\$ MILLIONS • FORM D, FASTER FASTER, INC. • THE CHECK IS BOUNDED, NEVER STATED



\$799

STARTING PRICE. THE ONLY LIVEWIRE
SEGMENT THAT MAKES MONEY

STACYC · 4 MARCH 2019 · Q1 2019 10-Q

TOTAL CONSIDERATION

\$14.9M

\$7.0M CASH AT CLOSE

GOODWILL · INTANGIBLES

\$9.5M · \$5.3M

GOODWILL TAX-DEDUCTIBLE

EARN-OUT, MAX

\$6.54M

THREE VOLUME MILESTONES

EARN-OUT, PAID

\$6.54M

\$2.18M × 2020, 2021, 2022

Harley's filing never explains the other
\$7.9M. LiveWire's carve-out statements do.
StaCyc hit every volume target it was given.



WHAT IT WAS BOUGHT FOR

A \$799 balance bike. Harley hopes the kid becomes a rider some day; the parent is the customer today.

WHAT IT WAS BOUGHT FOR • THEIR WORDS

“The StaCyc team shares the same vision we have for building the next generation of riders globally.”

HEATHER MALENSHEK, SVP MARKETING AND BRAND • 5 MAR 2019

“Kids who are enjoying two-wheeled freedom with their families, connecting through Harley-Davidson dealerships and events. Starting at \$649.”

MATT LEVATICH • Q1 2019 CALL

Not electrification. The next customer.

2025: THIRTY-THREE STACYCS FOR EVERY LIVEWIRE MOTORCYCLE



Revenue: \$6.1M motorcycles, **\$19.6M StaCyc**, 76% of LiveWire's product revenue, from a \$14.9M purchase of a company that makes \$649 balance bikes for three-year-olds.



EAGLEMARK, 1993

The finance desk. Two-thirds of the loans written here for the next five years are already sold.

THE OLDER PRECEDENT · EAGLEMARK, 1993–1995

JAN 1993 · 49%

\$10M

10-K FY1994

\$55M for the business that became HDFS, made **\$248M** in 2024, and that KKR and PIMCO paid 1.75× book for a tenth of in 2025.

NOV 1995 · THE REST

~\$45M

10-K FY1996

The two outside purchases that were kept and made money are the two that make money on somebody else's product on a Harley dealer's floor. Neither has ever been asked to build a motorcycle.

PART 1 ✓

The Record



PART 2 ✓

Same Sentence



PART 3 ✓

Too Small to
Say

PART 4

The Sprint

NEXT · PART 4 OF 4

THE SPRINT, AND THE FINAL WORD.

1960: an Aermacchi. 2026: a Hero. The same hole below the big twin, and somebody else's engine in it both times. Seven CEOs, one cycle, and what every purchase was for.

FULL BRIEF, EVERY

SOURCE LINKED:

CONTACTPATCHADVISORY.COM/GROUNDTRUTH/03/